

Indian Alternative Accommodation Market & StayVista, Airbnb & Elivaas – Senior Executive, Revenue Management at MakeMyTrip Ltd

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Expert background

- Extensive experience at MakeMyTrip and is well-placed to discuss India's hotels and alternative accommodation market, as well as OTAs (online travel agencies)
- Strong understanding of domestic and international hotel markets, including distribution, customer discovery, acquisition economics and booking behaviour across villas, homestays and hostels
- Deep insights into the organised alternative accommodation landscape, including StayVista, Elivaas and SaffronStays, and their asset-light models involving property management and revenue sharing
- Knowledgeable on major alternative accommodation platforms' competitive positioning, including StayVista's premium positioning relative to Elivaas and SaffronStays

Contents

We are doing some research on the alternative accommodation market in India. Given that OTAs [online travel agencies] typically will play quite a vital role in distribution and discovery of villas, homestays and hostels, we wanted to speak to you and understand your perspective on this market and any trends that you are seeing. From an overall market perspective for alternative accommodation, do you have any insights into the total Indian accommodation market, including hotels and alternative accommodations? What would be the size of the overall market? What is the size of this alternative accommodation market?	4
How are the growth trends playing out in this market?	4
If you have to talk about the main things in this alternative accommodation market, would you say in the different types of accommodation that exist, villas, homestays and hostels encompass the major chunk of this?	4

If we have to think about locations, what we understand is that for alternative accommodation, this is majorly vacation or weekend getaways, that is the primary use. In that case, are you seeing any specific locations which are very ideal for this, apart from Goa, which I think has the largest chunk of listings, but apart from that, which key locations would be driving the growth of this accommodation category?	5
Talking about how villas get discovered by customers or potential travellers, would it be right to say that a majority of these listings would already be on OTA, because that's the way people will get to know that such an offering exists?	5
Would you say since the market has a mix of largely unorganised and organised management players who are doing specifically branded villas? Going forwards, will it be more managed, or do you think it will continue to stay fragmented because operations and managing multiple inventories are going to be a hassle?	5
You had mentioned a change in the Airbnb commission structure. Can you elaborate on that? Is it that the commissions have increased?	5
Any sense of the numbers or estimates that you can share as to how many such listings would be there in India, and what percentage of that do you think is serviceable by property management players?	6
Which are the channel managers?	6
Are there any large channel managers?	7
Will the global channel managers be relevant for Indian villas located in Lonavala? Will they still be engaging with such property owners?	7
The channel manager is an agent in this case, right? They coordinate between the guest and the actual check-in or stay experience.	7
You're saying that out of the approx ballpark of three lakh rooms in India, which are in the alternative accommodation category, around 30% of them would be using channel managers. Hence, they would have a big- or small-time property manager who is assisting the homeowner. From an OTA perspective, how does a partnership with these non-channel managers focus on the next step down, which is the property manager, and how do partnerships actually work? How do they approach you? What are the criteria that you look for before listing and the key terms of the agreement?	7
On average, would you say the average occupancy in one year is higher in such villas, homestays or hotels?	8
As you have organised listing players such as StayVista, Elivaas and SaffronStays, when you're evaluating their service offerings, do you think there's any key differentiation between what they are offering among the three?	8
StayVista is an organised player; is there any specific contract or agreement that they need to sign with the OTA?	8

If you think about the ADRs [average daily rates] in this space, would you say there's a trend concerning what these organised players are charging for a villa on average? Is there any range?	9
On average, if we have to say ADRs, if a hotel room costs INR 5,000 per night on average, then I would think that a villa would cost a significant premium above that.	9
If you have to talk about the growth trends for this market, how do you see this market growing? Do you see this contributing to a major portion of booking values of accommodation going forwards?	9
My takeaways from the conversation are that while you are seeing this as a growing market, the overall market size is still much smaller with respect to hotels, which is an INR 10,000 crore market, so we're talking around USD 1bn as the total market size. Even within that USD 1bn TAM, there's a huge chunk of unorganised players, which are your standalone villa owners or smaller players who are maybe aggregated by some property managers and then channel managers who are helping with the listing. These newer players are coming into the market and growing well, but still operating in quite a small market. Is that correct?	9
Given the past growth, do you think scalability is going to be easy now that StayVista has already got 1,700 rooms, or is it going to be quite an effort to scale up such a model?	10

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Transcription begins

Q1: We are doing some research on the alternative accommodation market in India. Given that OTAs [online travel agencies] typically will play quite a vital role in distribution and discovery of villas, homestays and hostels, we wanted to speak to you and understand your perspective on this market and any trends that you are seeing. From an overall market perspective for alternative accommodation, do you have any insights into the total Indian accommodation market, including hotels and alternative accommodations? What would be the size of the overall market? What is the size of this alternative accommodation market?

Expert: Overall domestic hotel, actually, these numbers don't get published a lot, so it's more a ballpark number. Hotels market will be INR 400 crore daily market, INR 400 crore per day market. Within that, I think 10% will be inbound, so we are talking about INR 370 crore, which is purely domestic. Alt acco will be around, I think, INR 30 crore, 8% of that.

Client: INR 30 crore per day is the inflows or in-booking value you would see. Is that INR 30 crore kind of...

Expert: Again, this is not like a flight market where DGCA publishes numbers, so this is an educated guess.

Client: For the full year, you're saying it is around INR 10,000 crore, right?

Expert: Yes, USD 1.2bn ballpark.

Q2: How are the growth trends playing out in this market?

Expert: It is growing more. This is the market growth I'm talking about, I think this year has been more because of the war and all international went down and a lot of (talking over each other), but otherwise also, I think you might shave off a few percentage points, but previous year or maybe in a non-war year, the growth will be lesser, but it will still be more than the standalone hotels business.

Client: Would the hotel business be growing single digits, you would say, or is it like 10%?

Expert: India level, no, it will be more than 10%. I think it will be around 12-13% this year. Typically, on a non-war year, it will be more to what you were assuming. Because of the war and all this year, India has also grown. India has seen... Domestic has seen better numbers with the war.

Q3: If you have to talk about the main things in this alternative accommodation market, would you say in the different types of accommodation that exist, villas, homestays and hostels encompass the major chunk of this?

Expert: Correct. Apartments also, but you may say homestays and apartments as one. Room and apartments, room and homestays are very difficult classification to do, so yes, homestays and apartments can be one category, villas is a

totally different product, and hostels will be the third one. These will be the major ones.

Q4: If we have to think about locations, what we understand is that for alternative accommodation, this is majorly vacation or weekend getaways, that is the primary use. In that case, are you seeing any specific locations which are very ideal for this, apart from Goa, which I think has the largest chunk of listings, but apart from that, which key locations would be driving the growth of this accommodation category?

Expert: Goa is there. Goa is one category in itself, it is so big, but after that, you can have these drive-down locations from each of the metros. Lonavala, Karjat near Bombay, or Manesar, Sohna kind of a thing around Delhi. That's one, drive-down is one category. Then hills is another category. Beaches is one category, which is mostly Kerala and Maharashtra, Ganpatipule, Dapoli, that Konkan (ph) kind of a thing. Then one category which is going very well is the pilgrimage one, so Ayodhya, Varanasi. They have Pushkar, also. They also have very nice alt acco properties. I think so drive down will be one. Hills, beaches, pilgrimage and Goa, I think, this should be where most of the action will be in this category, or the supply will be coming up here only.

Q5: Talking about how villas get discovered by customers or potential travellers, would it be right to say that a majority of these listings would already be on OTA, because that's the way people will get to know that such an offering exists?

Expert: That's a nuanced question. All these chains, especially the ones you mentioned, StayVista and Elivaas, you had mentioned in the chat, so these will definitely be available, obviously, like most of the OTAs I think the standalone villas like independent host kind of a thing, they might not necessarily because there's so much hassle of managing inventory and they typically have one inventory only to sell, so they might choose a platform rather than having presence across because having presence across means you need to invest in a channel manager, have distribution. All those complexities come. Standalone hosts might not be present everywhere, but the chains will be present at all the platforms.

Q6: Would you say since the market has a mix of largely unorganised and organised management players who are doing specifically branded villas? Going forwards, will it be more managed, or do you think it will continue to stay fragmented because operations and managing multiple inventories are going to be a hassle?

Expert: No, I think it will be more managed. Airbnb is also now changing the commission structure, so there's no great incentive to remain unmanaged anymore, earlier there was, but now there is not. I think the managed ones will see their supply expanding significantly after the Airbnb change. I think, second, a lot of homeowners are now using it as an investment class, so the second home. That is a macro shift that is happening. People are diversifying investments and moving into second home. Everyone having a second home, it's a side income. They will not be doing it full, so they will prefer a managed player to come in between and take it, so that's where I think most of the supply growth will come.

Q7: You had mentioned a change in the Airbnb commission structure. Can you elaborate on that? Is it that the commissions have increased?

Expert: They used to have a separate commission depending on if you have a channel manager or if you don't have a channel manager. If you don't have a channel manager, the commission was really less because they wanted to promote standalone villas and they used to take a service fee from the customer instead. I think now they are planning to move away from that. Even the standalones will have higher commission. There's no incentive now for them to remain unbranded. The reason the standalone used to prefer Airbnb was this only, they used to pay very less

commission there. Then they did not invest in channel manager and did not have distribution plans also because they were happy with the commission they were getting, but I think that thing will change now. This will give an advantage to the aggregators.

Client: Airbnb was previously fairly attractive for standalone villa owners. If we say that Airbnb has 100 listings for villas, would you have an idea of the mix as to how many would be completely standalone vs channel or managed properties that were also present on Airbnb? Is there an indicative mix of that?

Expert: This is largely unmanaged, Airbnb...

Client: Standalone properties, each villa owner would be listing their property and engaging.

Expert: Yes.

Q8: Any sense of the numbers or estimates that you can share as to how many such listings would be there in India, and what percentage of that do you think is serviceable by property management players?

Expert: I think rooms is a better metric, how many rooms you're talking about. I think there will be around, again, ballpark, but we're talking about 2.5-3.5 lakh, 3 lakh rooms, which can be classified as alt kind of a accommodation. That should be the size of the market. What was the other question? Channel manager and non-channel manager, I think mostly will be non-channel manager. I think a channel manager would be, in that 1 lakh, maybe 30-35% would be a channel manager.

Client: You think around one lakh rooms could be managed by a property management player, right?

Expert: No, property management is different and channel manager is different. What do you mean by property manager?

Client: Property manager, I'm talking about the players such as StayVista or Elivaas. Channel manager, I think, (inaudible).

Expert: Channel manager is a tech company who just sends rates and inventory to OTAs. They do the inventory management. If not 1 lakh, it will be close to 80,000 will be using a channel manager, basically, which shows that the host is slightly digitally savvy.

Q9: Which are the channel managers?

Expert: EZee Centrix, Rentals United, such names, if you heard of them, AsiaTech, AxisRooms, Staah, all of them, OTASwitch, these are the channel managers, Maximojo, if you have heard these names. They are not B2C. They are not customer-facing companies. Have you heard something called Unicommerce in e-commerce?

Client: Yes.

Expert: Equivalent of Unicommerce is the channel manager, but it shows the digital maturity of the alt acco host that is using such a software, paying a subscription fee for that software. Clearly, anyone who's a channel manager is a professional player who wants to sell on multiple OTAs.

Client: Even if they have just one (talking over each other) to serve.

Expert: Yes.

Client: I'm hearing these names for the first time, to be honest.

Q10: Are there any large channel managers?

Expert: A few of them are. I think Staah is a big company. It's a New Zealand company. Rentals United. There's a European company, Amadeus, they are quite big. They are global players. Then in India, we will have RateGain, AxisRooms. They will be the bigger one. Globally, it will be Staah, Rental United.

Q11: Will the global channel managers be relevant for Indian villas located in Lonavala? Will they still be engaging with such property owners?

Expert: No. I think they will be more expensive. Because you asked the bigger name, so I just mentioned the bigger ones. You will see a higher overlap with the aggregator, someone who is running 6-7 villas, local revenue manager who is managing 15 properties in Goa. You don't need to be Elivaas or a StayVista. If you are a decent-level revenue manager based out of Goa, you can just walk up to 15 owners around you and say, "I'll do the management of your property." The owner has now given it, instead of a company, it has given it to this person who just has 15 properties or 20 properties. There is some aggregation that has been done by this person, and this person then is using these channel managers, but it shows some kind of digital maturity of those business, how the content will flow, how the rates will flow, then he will be using a staffing agency across all those 15 properties for cleaning up, then how the fulfilment happens, all of those things, how the post-sales customer experience happen.

He'll have a 24/7 desk just to have the query. He'll have three agents at eight-eight-eight hours kind of interval, just man that desk so that if a query comes in the night also, there's someone to answer vs a standalone owner who is just doing it for part-time income, and there you won't be getting this kind of a professionalism. He will not pick up your call at 21:00 in the night, if there's something. Those subtle differences, how his content flows, how is the nature of the photo shoot, how good is the product quality on the funnel, how good is the price parity, is he using some kind of a software to tell him how he should price. All the attributes of selling will be very different for this kind of a person who is using a channel manager.

Q12: The channel manager is an agent in this case, right? They coordinate between the guest and the actual check-in or stay experience.

Expert: No, channel manager is a tool. It's a software which you use, that person is called a property manager who is just managing 15-20 properties, aggregating them. Property manager is a person who is using a tool called channel manager. Basically, Airbnb understands that a channel manager property is professionally managed, so they have higher commissions for that. Non-channel manager properties are non-professionally managed, so they have lower commissions there.

Q13: You're saying that out of the approx ballpark of three lakh rooms in India, which are in the alternative accommodation category, around 30% of them would be using channel managers. Hence, they would have a big- or small-time property manager who is assisting the homeowner. From an OTA perspective, how does a partnership with these non-channel managers focus on the next step down, which is the property manager, and how do partnerships actually work? How do they approach you? What are the criteria that you look for before listing and the key terms of the agreement?

Expert: Typically, you need to have a self-serve approach here where the host can list the property themselves. That's what is encouraged because having dedicated humans managing properties becomes very costly, because there's only one room that that person is managing vs in a hotel where you're at least managing 80-100 rooms. It makes sense to put people there. Here, while the complexity is there, but you will want to put people in the aggregated supply only to manage those relationships. The non-aggregated supplies typically run on self-serve flows. To list the onboarding

process is quite simple. You just need the content photos and you put your rate. To prevent fraud and all, there are certain checks that we do. There's other verification, bank verification, then the bank account where the money has to go, there is a software called penny drop where you validate the bank account is correct. Banks have those APIs where you can test by putting INR 1 in it, depositing that, then you confirm that the hosts have received it. Those checks are there. I think there's a trigger that you need to build on post-sales, especially for the first few bookings that come.

Essentially, the rules, you just have certain guardrails on content like how many images must be there. At a property level, you need to have, say, 15-20 images, but at a room level also, you need to have minimum three images. Bathroom images, you need to have at least two bathroom images. There's a common space, you have to put that. Then there's a yes or no question which you have to hard fill. Is parking available? Is common space, which is common space, which is private space? Bathroom is private or shared. Those are answers you have to fill. You cannot skip those questions. That's why that information is quite accurate. All of those things need to be created. Obviously, it's easier with the aggregators because they have dedicated teams for this. Then they outsource it to dedicated photographers who understand the category. Everything ties up. For a standalone host, it becomes difficult to coordinate, but still you have SOPs and you want to do that.

Q14: On average, would you say the average occupancy in one year is higher in such villas, homestays or hotels?

Expert: No, no, it's lesser.

Client: Is it very less? Any range of numbers that we can refer to here?

Expert: Hotels will be around 60-65%, depending on the year you're talking about. Non-hotels, all typical competition will be typically at 40%, because the use case is also very weekends, it's leisure.

Q15: As you have organised listing players such as StayVista, Elivaas and SaffronStays, when you're evaluating their service offerings, do you think there's any key differentiation between what they are offering among the three?

Expert: I think StayVista is more towards the high end. I think all of three, they have a very similar model. They don't own the property, but they run it and they give owner a cut of the earning. Elivaas, StayVista and also they behave similarly maybe price point-wise for about (inaudible) largely... If there's any specific thing that you want to check, maybe I can answer that. StayVista will be significant compared to the other ones. That's the difference. They are more premium.

Client: Just seeing the entire market, so these three were the top names that came. Just trying to understand if there's any difference between the three.

Expert: No, no, no. I think not in terms of technicality or how they are contracting their properties, they behave similar only. Just that StayVista chooses slightly premium villas because its price point is more.

Q16: StayVista is an organised player; is there any specific contract or agreement that they need to sign with the OTA?

Expert: All the properties, even the standalone ones, everyone signs a contract because otherwise, you cannot operate because there's GST, there's taxes, there's commission. There's a lot of financial transaction that happens. There's a legal contract which gets signed. It's agnostic. Even if you are a non-chain property also. Then also there are digital contract that partners sign. Also, that contract is still there.

Client: Is it a standard agreement for both standalone as well as a chain, or are there any additional clauses that you take care of when you're agreeing with an organised chain such as these three players?

Expert: It's standard only. There are certain things that you might want to do, but they are outside agreement also. If you have a commercial arrangement, that can be on top of the regular one. Those things still can be done. The onboarding agreement is largely similar-ish. These players have their own legal team, so they might want to change that. We might say the jurisdiction is Delhi and StayVista, my headquarter is Bombay. Maybe they will do those edits, or we have a standard, cookie-cutter SLA thing that if a customer is denied check-in, we will penalise you for that night and you'll have to compensate us. There, a bigger chain might say, "Hey, I'll not compensate 100%, I'll compensate 50% or whatever." Those things can be debated and discussed, but typically, we have a standard agreement, which we pass on to all the players. Unless they push back, it is easy to sign.

Q17: If you think about the ADRs [average daily rates] in this space, would you say there's a trend concerning what these organised players are charging for a villa on average? Is there any range?

Expert: As I said, StayVista will be significantly higher. It will be 3x of the average. They're that premium. Elivaas will be 2.5x to 2x. Premium players, because they are brands, they will charge a premium charge. They do keep doing that.

Q18: On average, if we have to say ADRs, if a hotel room costs INR 5,000 per night on average, then I would think that a villa would cost a significant premium above that.

Expert: Villas is actually three rooms. A StayVista or an Elivaas might be slightly more also at a per room per night because totally you're comparing one room and villa might have three rooms. That's the difference, but you're right, the branded ones will charge a premium. I think the unbranded villas, typically, they will be at the same price as a hotel.

Q19: If you have to talk about the growth trends for this market, how do you see this market growing? Do you see this contributing to a major portion of booking values of accommodation going forwards?

Expert: Not a major portion, but yes, it will be growing fast. Currently, market-wise, it's single digit currently. It will keep growing. I don't think it will become major, but the market will keep increasing its share because the underlying growth there will happen more in the near future also. A lot of new use cases are now these brands are trying a lot of new use cases. Once you have some aggregation, you get the corporate demand also, which is big and having office parties, reviews in a villa and then vibing by the pool. That concept, they are also experimenting, both StayVista and... Obviously, to do that, you need to have a branded presence across the country.

If you have to, I don't know, pitch to an Accenture, Accenture has offices all across. You need to have villas all across. I think those categories will also see traction where you'll have wifi and tablespots and work desks as amenities and then also a pool outside and a fully functional caretaker taking care of the entire corporate teams' needs, because it's very ideal for small groups or small teams having a party or week together offering, which you can claim from the corporate. That use case will pick up. I think the category will keep growing more than the hotels. It won't become major because it's too small, but it will keep growing and increasing its share.

Client: In commercial agreements with OTAs, what is the arrangement like, or is it on the booking value that there is a take rate that is taken by the OTA? Is that the standard way in which the commercial structure will be?

Expert: It's similar to hotels only, similar to hotels, I don't think the commercials are different.

Q20: My takeaways from the conversation are that while you are seeing this as a growing market, the overall market size is still much smaller with respect to hotels, which is an INR 10,000 crore market, so we're talking around USD 1bn as the total market size. Even within

that USD 1bn TAM, there's a huge chunk of unorganised players, which are your standalone villa owners or smaller players who are maybe aggregated by some property managers and then channel managers who are helping with the listing. These newer players are coming into the market and growing well, but still operating in quite a small market. Is that correct?

Expert: Yes. I think what we are talking, StayVista will have about 1,000, 1,200, 1,400 rooms total. They're trying to aggregate, but they're still quite small.

Q21: Given the past growth, do you think scalability is going to be easy now that StayVista has already got 1,700 rooms, or is it going to be quite an effort to scale up such a model?

Expert: That's my personal opinion, but it's a difficult business to run because the post-sales consistency, going from 1,700 to 17,000, the next 16,000 properties which you onboard, the person there who is fulfilling that service, is he up to the mark of StayVista standard or not? Hiring those people, those challenges become very difficult. How does the brand standardise? For a hotel, it is easy. A Taj has 400 rooms and, say, I don't know, 40 people managing for the room here. It's one person managing one room. The economics are slightly tougher. Theoretically, you can find 17,000 owners who will give StayVista the key to their house, but how do they staff people? How do they ensure the process, because a lot of these locations are also very far away? If the if he runs out of an ingredient to cook and he (talking over each other), how does he tactfully handle the guest? Those hospitality training, it's more about ensuring all that the, the fulfilment post-sale, that is slightly tougher. That's the bottleneck. I don't think there's any other bottlenecks. Hiring those people and having a standard experience, which will be true to the brand's value, is difficult. That's why you need very senior people just to ensure that they hire the right folks and train them right. That's why they are scaling not that fast.

Client: I think that's definitely a concern whether they can standardise the experience.

Expert: Standards and results. For a Taj, if they want to just have a new franchisee, any city, the best five star, they can go to the owner and say, "I'll give you my brand," and because the five-star owner is used to running five-star operations, it's very easy for them to comply to that standard. For a villa, there's no precedent. Who does the owner of StayVista or owner of Elivaas speak to in a new town? How do they onboard? All those challenges are quite real.

Transcription ends

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